## Incidents of Violations

One of the major problems confronting the European powers was how to achieve disarmament. In 1925 the Council of the League set up a commission to hold a Disarmament Conference. But the proposed conference materialised only in 1932. In this Conference, Germany's demand of equality of arms with France was rejected. Hitler withdrew Germany from the Conference and the League.

The League could do nothing about the seizure of Vilna by Poland in 1920. In 1923, when war threatened to break out between Italy and Greece, Italians refused to submit to the mediation of the League. Japan attacked Manchuria in September 1931 and the League condemned Japan. Japan followed the example of Germany and resigned. In the context of Italy's attack on Ethiopia, the League applied sanctions. As the sanctions came into effect, Italy in protest resigned from the League in 1937.

Thereafter the League was a passive witness to events, taking no part in the crises over the Rhineland, Austria, Czechoslovakia and Poland. The last decisive action it took was in December 1939 when Russia was expelled for attacking Finland. The Assembly did not meet again and the League of Nations was finally dissolved in 1946.

## Causes of Failure

The League appeared to be an organisation of the victors in the First World War. Though it had a world-wide membership, it was very much the centre of European diplomacy.

Unanimity of members was required for all its decisions on political issues. Since it lacked military power of its own, it could not enforce its decisions.

The founders of this peace organisation underestimated the potential of nationalism. The principle of "collective security' could not be applied in actual practice.

The League of Nations was shown to have no teeth. It depended wholly on the good will and positive approach of all nations. When Italy, Japan and Germany, headed by dictators, refused to be bound by the orders of the League, Britain and France were the only major powers who had the power to act. But they were not enthusiastic supporters of the League, as it was the brainchild of Wilson.

# 13.6 The Great Depression

The economic depression that began in the aftermath of the US stock market crash was international in character and devastated the world economy. During the First World War, while the states of Europe were fighting on the battlefield, Americans were capturing their markets and extending their fields of investment and thereby expanding their own industry and agriculture. By the end of the war America had emerged as the richest nation in the word.

The war placed a heavy burden of debt on every European country. America had lent enormously to war-ravaged European countries. The capital outflow from America had found its outlet in new investments. But these investments would yield desired results only after a period. In the meantime, because of the slump, the US was forced to withdraw its capital exported. The withdrawal of American capital caused decline in the volume and value of exports all over. The effects of this development were accentuated by the US market crash.

## Stock Market Crash in the US




Stock Market Crash

The first huge stock market crash occurred on 24 October 1929. This resulted in more and more people selling their shares and disposing of their stocks. But there were no buyers. This was followed by the failure of American banks. American financiers were forced to recall their own funds invested abroad. The stoppage of loans to Germany by America led to the failure



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